

CHAPTER 4

Multi-Asset-Class Investing

KEY CONCEPTS

- Owning several asset classes is better than owning a few.
- Each new and unique asset class can reduce portfolio risk.
- Choose asset classes that have positive real returns and lower correlation.
- You can select a good asset allocation, but not a perfect one.

In [Chapter 3](#), we look at the way two different asset classes can work together to form a lower-risk and higher-return portfolio. Multi-asset-class investing involves adding more asset classes to the portfolio to further reduce portfolio risk and increase the potential for higher return. It is not possible to know which types of investment will perform well at any given time; thus, it is important to retain all asset classes in a portfolio at all times and to rebalance these investments annually. Broad diversification and occasional rebalancing to control portfolio risk is the essence of multi-asset-class investing.

EXPANDING THE ENVELOPE

The Talmud has a saying:

Let every man divide his money into three parts, and invest a third in land, a third in business, and a third let him keep in reserve.

—Talmud, circa 1200 BC–500 AD

In today's terms, it means keep a third in stocks, a third in bonds, and a third in land. This will diversify a portfolio and guard it from total loss.

In this chapter, we expand the number of asset classes to analyze how these additions affect portfolio risk and return. In addition to the U.S. stocks and intermediate-term Treasury notes already discussed, three new investments are analyzed: Pacific Rim stocks, European stocks, and